

Luxembourg

Luxembourg Competition Authority

The present contribution is an update to the one provided last year. In this logic, the context and activities described in sections I and II remain unchanged and are complemented by a brief progress report in section III.

I. Context

The Luxembourg Competition Authority ('Authority') is the competition authority of Luxembourg. Until now, its missions have been the enforcement of national and European competition law. However, its tasks have grown. For example, the Authority oversees the enforcement of the directive 2019/633 'Unfair Trading Practices (UTP)' and regulation 2019/1150 'Platform-to-Business (P2B).'

In order to prepare itself for these new missions and to react to the ongoing digitalization, the Authority set up a new unit dedicated to platform markets and data analytics. In a first stage, two people will be working in this unit and the immediate tasks in the short term will be:

- To monitor the local platform economy and handle complaints in the framework of the 'Platform-to-Business' regulation;
- Assist in the analysis of competition cases in the digital economy;
- Contribute to more general activities of the Authority, like sector inquiries through improved data analysis.

II. Activities of the new unit

A. Increase current know-how

In a first phase, the main goal of the new unit will be to increase its capabilities. Before hiring additional staff, the current employees will increase their expertise through trainings in fields of statistics, data science, and platform economics. A second way to increase the expertise of the Authority will be the collaboration with other authorities, especially in the framework of the ECN network. Finally, the unit will reach out to the academic field to explore possibilities of collaboration. In this regard, the participation of the Authority on the Computational Antitrust Project is a first important step. Additionally, the Authority will reach out to other institutions

like the University of Luxembourg to exchange on ongoing legislative evolutions (*e.g.*, DSA and DMA) and to learn more about computational tools.

B. Put in place specialized tools

In a second phase, the aim will be to put in place specialized tools to improve the Authority's functioning. Possible projects in this regard would be the following:

- The use of sophisticated 'eDiscovery' software: This will improve the handling and analysis of firms' documents. The number of documents a competition authority has to analyze in a given case is growing rapidly. An effective analysis of these documents can no longer be done manually. Therefore, it is crucial for the Authority to improve in this area through sophisticated eDiscovery tools, which allow a rapid identification of those documents that are important in an ongoing investigation. Such tools will rely on AI techniques such as Natural Language Processing (NLP). Given the complexity of such tools, they will likely be acquired rather than developed in house.
- Monitoring of Terms and Conditions of platforms: In the framework of the 'Platform-to-Business' regulation, platforms' terms and conditions have to respect certain obligations. To be as efficient as possible, an automated tool will be developed to go through the terms and conditions of firms and identify potentially problematic cases. In this way, the Authority will be able to ensure a pro-active market monitoring rather than reacting solely on complaints.
- Market monitoring: Similarly, automated tools could also be put in place to monitor markets in general. Be it the analysis of prices on specific markets to detect potentially anti-competitive behavior or the automated analysis of press articles.

As experience will grow over time, the unit will readapt its goals and hire additional people according to the identified needs. In all likelihood, these new profiles will stem from the fields of econometrics, data science or IT.

III. Progress report for 2022-2023

The activities set out last year remain the Authority's plan to set up a unit focused on the analysis of platform markets. Currently, the unit's activities in this regard are mainly to increase its current expertise (*cf.* section II.A.). The projects set out in section II.B. could so far not be put in place. A higher-than-expected need for the unit's staff to contribute to antitrust investigations was the main reason.